



Risk Register 2021

University of Reading Pension Scheme

Funding Risks

Risk	Likelihood	Impact	Score	Owner
Adverse investment returns relative to liabilities	Low-Med	Med-High	8	Administrator
Interest rate and inflation movements	Low	High	10	Administrator
Longevity improvements beyond assumptions	Med-High	High	12	Administrator
Member option take-up variations	Med-High	Med-High	14	Administrator

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Covenant Risks

Risk	Likelihood	Impact	Score	Owner
Sponsor financial deterioration	Medium	Medium	15	Investment Cttee
Corporate restructuring or disposal	Low-Med	Med-High	12	Trustee
Dividend policy changes	Low	Medium	11	Sponsor

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Investment Risks

Risk	Likelihood	Impact	Score	Owner
Counterparty failure in LDI arrangements	Med-High	Medium	14	Administrator
Liquidity shortfall under stress	Low	Medium	10	Investment Ctte
Manager underperformance	Low-Med	Medium	13	Investment Ctte

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Operational Risks

Risk	Likelihood	Impact	Score	Owner
Administrator errors or delays	Medium	Med-High	7	Sponsor
Data quality degradation	Medium	Medium	7	Sponsor
Cyber and information security	Low-Med	High	12	Sponsor

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Legal & Regulatory Risks

Risk	Likelihood	Impact	Score	Owner
GMP conversion complexity	Low	Med-High	5	Trustee
Changes to tax regime for pensions	Medium	Medium	8	Administrator
New Funding Code compliance	Low	High	14	Trustee

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Member Outcomes Risks

Risk	Likelihood	Impact	Score	Owner
Member communications breakdowns	Medium	Medium	13	Administrator
Complaints and IDRP escalations	Medium	Medium	6	Sponsor
Safeguarding vulnerable customers	Low-Med	Medium	9	Administrator

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Transaction Risks

Risk	Likelihood	Impact	Score	Owner
BPA pricing volatility	Med-High	Medium	6	Investment Cttee
Insurer capacity and selection	Low-Med	High	10	Administrator
Transfer documentation errors	Medium	Medium	6	Sponsor

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Climate Risks

Risk	Likelihood	Impact	Score	Owner
Transition risk on strategic allocation	Medium	Medium	8	Investment Ctte
Physical risk on property holdings	Low	Medium	14	Investment Ctte
TCFD reporting completeness	Medium	Med-High	8	Sponsor

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Governance Risks

Risk	Likelihood	Impact	Score	Owner
Trustee board composition and skills	Low	High	13	Trustee
Adviser rotation and independence	Low-Med	Med-High	13	Administrator
Conflict of interest management	Med-High	High	13	Administrator

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